Circular No. 3/2025
F. No. 275/12/2025-IT(B)
New Delhi, dated 15th March, 2025

Subject: Deduction of tax at source on fees for professional or technical services under section 194J of the Income-tax Act, 1961 - clarification regarding.

1. Section 194J of the Income-tax Act, 1961 (the Act) provides for deduction of tax at source on fees for professional services, fees for technical services, royalty and non-compete fees. Representations have been received seeking clarity on the threshold for such deduction where payments are made in instalments during the financial year.

2. The matter has been examined. It is clarified that the threshold of Rs. 50,000 is to be applied to the aggregate amount credited or paid to the payee during the financial year, and not to each instalment separately.

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3. Where the payee has furnished a certificate under section 197 of the Act, tax shall be deducted at the rate specified in that certificate. The deductor is not required to deduct tax at the rate specified in section 194J for the period covered by the certificate.

4. These clarifications apply to payments made on or after 1st April, 2025. The deduction under section 80C or section 80D claimed by the payee has no bearing on the deduction required under section 194J.

(Ravi Kumar)
Under Secretary to the Government of India

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